

The point is not to bash regulators but to show how hard it is to classify a brand-new asset class, especially when it is the first digital native asset class the world has seen.

WHAT IS AN ASSET CLASS, ANYWAY?

While people accept that equities and bonds are the two major investment asset classes, and others will accept that money market funds, real estate, precious metals, and currencies are other commonly used asset classes,⁴ few bother to understand what is meant by an asset class in the first place.

Robert Greer, vice president of Daiwa Securities, wrote “What Is an Asset Class, Anyway?”⁵ a seminal paper on the definition of an asset class in a 1997 issue of *The Journal of Portfolio Management*. According to Greer:

An asset class is a set of assets that bear some fundamental economic similarities to each other, and that have characteristics that make them distinct from other assets that are not part of that class.

Still fuzzy. Greer then goes on to define three superclasses of assets:

- Capital assets
- Consumable/transformable assets
- Store of value assets

Greer has the following to say about how to identify each superclass from the others (boldface ours):